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Co-operative Bank Kenya

Q1'25 Earnings Note

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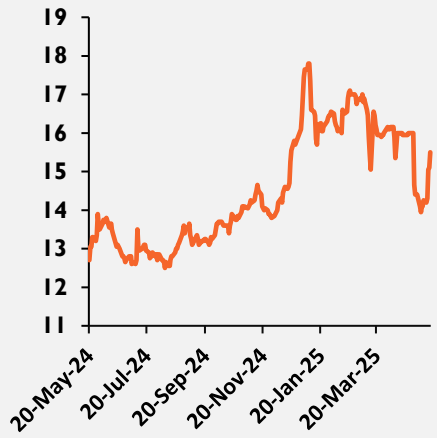


Cooperative Bank Q1'25 Earnings Note

May 19th, 2025

Ticker Information	
NSE Code:	COOP
Issued Shares (Bn):	5.87
52-week high:	KES 17.80
52-week low:	KES 12.50

Chart 1: Price Trend (Last 12 Months)



Source: NSE, AIB-AXYS Research

Historical Share Performance

Last	1M	3M	6M	12M
Change	-3.1%	-6.1%	+6.9%	22.0%

Recommendation	Current Price	Target Price
BUY	**KES 15.50**	**KES 18.30**

Summary

- **Cooperative Bank sustained a strong momentum in the first quarter of the year, with net profit surging by 5.3% y/y to KES 6.93 Bn.** Despite a low interest environment, the lender achieved improved yield on interest earning assets coming in at 12.8%, outpacing the cost of funds, lifting Net Interest Margins (NIMs) to 7.7% from 7.3%. Notably, the bank registered an impressive 21.7% y/y uptick in net interest income which reached KES 14.24 Bn surpassing our in-house estimates and bolstering overall quarterly performance.

Key Highlights

- **Solid Core Banking Performance:** Core lending activities remained resilient during the period under review, with Net Interest Income climbing to KES 14.24 Bn despite a 2.0% reduction in the base lending rate to 14.5% from 16.5% by the bank. This performance was supported by a corresponding increase in loans and advances, which rose to KES 384.55 Bn. Non-Funded Income contracted marginally by 1.9% to KES 6.94 Bn from KES 7.08 Bn. FX trading income, a significant contributor to Non-Funded Income, saw the sharpest decline, dropping 44.5% y/y to KES 0.8 Bn from KES 1.44 Bn in the same period last year. This decline was attributed to a stable currency, which remained anchored around KES 129.0 due to deliberate government actions. The stability reduced trading opportunities, tightening spreads and cutting into margins. The performance marked a sharp contrast to the same period last year, when the Kenyan shilling appreciated by 9.1% against the dollar, creating more favorable trading conditions
- **Deterioration of Asset Quality:** Debtors continued facing challenges in honoring their obligations, resulting in a growing stock of Gross Non-Performing Loans (NPLs) which reached KES 74.07 Bn - an 11.4% increase from KES 66.94 Bn in Q1'2024. This pushed the Gross NPL ratio to 17.3%. However, the lender-maintained vigilance by increasing its NPL coverage ratio to 64.2%

Balance Sheet Dynamics

The balance sheet recorded an expansion, with total assets reaching KES 774.07 Bn. Despite declining yields on government papers during the period, the lender increased its placement in government securities by 16.5% y/y to KES 233.34 Bn. Loans and advances similarly grew, reaching KES 384.55 Bn. Going forward, we expect increased disbursements as lending rates remain attractive. Customer deposits rose by 9.0% y/y to KES 525.17 Bn. We note that the lender's deployment of deposits to loans decreased, as signaled by a 5.3% reduction in the loan-to-deposit ratio.

Declining Efficiency

Operational efficiency declined evidenced by 1.4% points rise in Cost-to-Income ratio (excluding loan-loss provisions) which came in at 45.6%. This can be attributed to a 19.1% increase in total operating expenses which outpaced a 12.8% increase in total operating income. Notably, loan loss provisions increased by 32.6% to KES 11.7 Bn in a bid to cover the rising NPLs. Cost to Assets (excluding loan-loss provisions) remained relatively unchanged at 1.2%

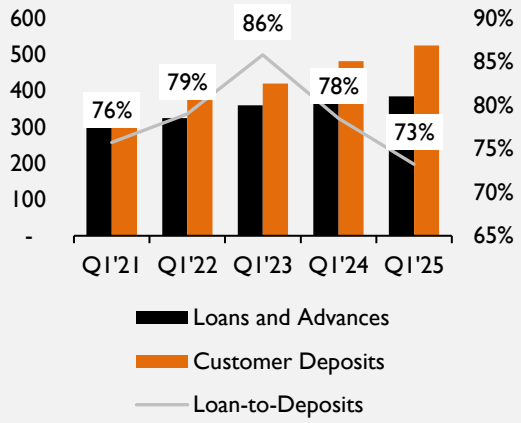
Outlook

We expect Cooperative Bank to sustain its growth momentum, as demonstrated by its resilient core business performance in Q1 despite the low-interest-rate environment. Growth will likely be driven by continued technology investments which have already shifted client preference toward alternative delivery channels alongside the rollout of innovative products to expand its customer base. Opening of new branches will further supplement deposit collection and amplify brand visibility. As the banking sector evolves, additional growth is anticipated from the expansion of its subsidiaries and bancassurance unit.

Recommendation

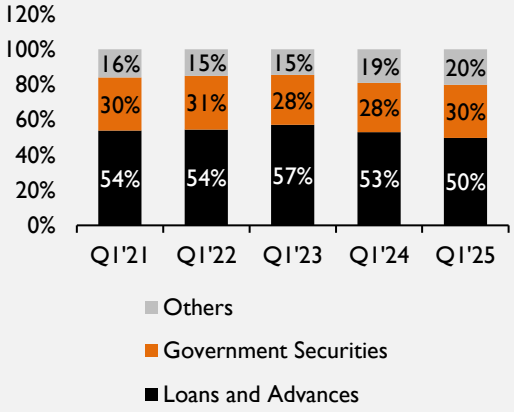
- **We maintain our *BUY* recommendation on Cooperative Bank driven by a strong core business and expansion across its various business lines.** At the current market price, the stock is trading at P/E ratio of 3.5x and a P/B ratio of 0.9x. Our one-year target price for Cooperative currently stands at KES 18.30 - representing a c.18.1% upside potential from current levels.

Chart 2: Asset Composition



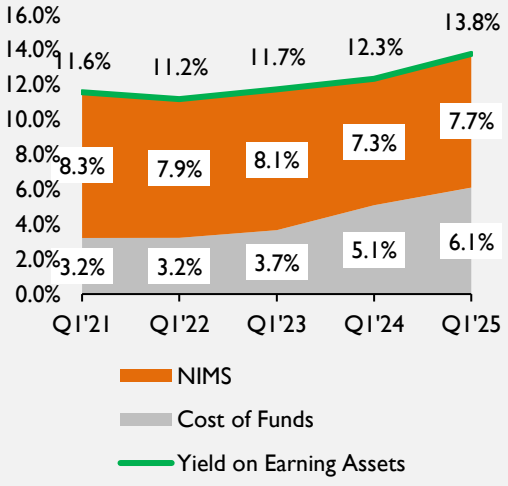
Source: Company filings, AIB-AXYS Research.

Chart 3: Growing Deposit Mobilization



Source: Company filings, AIB-AXYS Research.

Chart 4: Resilient Net Interest Margins



Source: Company filings, AIB-AXYS Research.

Income Statement (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Net Interest Income	9.83	10.37	10.77	11.70	14.24	▲ 21.7%
Net non-Interest Income	4.52	6.41	7.10	7.08	6.94	▼ (1.9%)
Total Operating income	14.35	16.78	17.87	18.78	21.18	▲ 12.8%
Provision for Impairment	(2.28)	(1.54)	(1.53)	(1.59)	(2.11)	▲ 32.6%
Total Operating expenses	(9.25)	(9.02)	(9.82)	(9.86)	(11.75)	▲ 19.1%
Profit before tax	4.98	7.79	8.15	9.01	9.63	▲ 6.8%
Profit after tax	3.46	5.84	6.11	6.58	6.93	▲ 5.3%
Annualized EPS	2.36	3.98	4.17	4.49	4.73	▲ 5.3%

Balance Sheet (KES Bn)	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Government Securities	166.15	183.36	179.23	200.21	233.34	▲ 16.5%
Loans and Advances	298.21	324.48	360.11	378.10	384.55	▲ 1.7%
Total Assets	552.93	596.99	631.07	714.67	774.07	▲ 8.3%
Customer Deposits	393.82	410.83	419.76	481.76	525.17	▲ 9.0%
Total Liabilities	458.31	493.89	518.19	588.96	618.37	▲ 5.0%
Shareholder's Funds	93.72	102.70	112.61	127.10	155.89	▲ 22.7%

Ratio Analysis	Q1'21	Q1'22	Q1'23	Q1'24	Q1'25	% y/y change
Spreads Analysis						
Yield on Assets	11.6%	11.2%	11.7%	12.3%	13.8%	▲ 1.4%
Cost of Funds	3.2%	3.2%	3.7%	5.1%	6.1%	▲ 1.0%
Net Interest Margin	8.3%	7.9%	8.1%	7.3%	7.7%	▲ 0.4%
ROaE	12.3%	19.3%	20.7%	19.7%	18.2%	▼ (1.5%)
ROaA	2.0%	3.3%	3.6%	3.5%	3.5%	▼ (0.0%)
Profit Margin	24.1%	34.8%	34.2%	35.0%	32.7%	▼ (2.3%)
Operating Efficiency						
Cost to Income Less LLP	48.6%	44.6%	46.3%	44.1%	45.5%	▲ 1.4%
Cost to Assets Less LLP	1.3%	1.3%	1.3%	1.2%	1.2%	▲ 0.1%
Loan to Deposit Ratio	75.7%	79.0%	85.8%	78.5%	73.2%	▼ (5.3%)
Asset Quality						
Gross NPL Ratio	16.2%	14.1%	14.3%	16.1%	17.3%	▲ 1.2%
NPL Coverage	58.4%	65.3%	62.2%	58.6%	64.2%	▲ 5.6%
Cost of Risk	0.8%	0.5%	0.4%	0.4%	0.5%	▲ 0.1%
Capital Adequacy						
Core Capital/TRWA	15.2%	15.3%	16.3%	18.2%	19.8%	▲ 1.6%
Total Capital /TRWA	16.9%	16.6%	17.2%	21.6%	22.8%	▲ 1.2%
Liquidity	54.8%	54.1%	50.6%	52.0%	61.3%	▲ 9.3%



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